of this confusion, there arose the demand for uniform coinage, and in 1806 the silver rupee was officially accepted by the East India Company as the standard coin. The Act of 1835 introduced silver monometallism in India, with the silver rupee containing 165 grains of pure silver and 15 grains of alloy, becoming the standard coin and legal tender for the entire country. The mints were opened to the public for free coinage of the metal. Gold coins were also minted, and though not legal tender, were accepted by the public Treasuries on the basis of ₹15 for one gold *mohur*, for payment of taxes and other public dues.

In 1861, the Paper Currency Act vested the sole right to issue notes with the government. The Mansfield Commission set up in 1866 to inquire into the 'whole currency question', recommended the introduction of a universal note that could be encashed anywhere in the country. In deference to the demand for the introduction of gold currency, it recommended that gold coins of ₹15, ₹10, and ₹5 would be preferred by the people to notes of equivalent value and the currency should therefore consist of gold, silver, and paper. No action was taken on the recommendations of the Mansfield Commission. In fact in 1874, the government announced it would take no steps for the recognition of gold as legal tender.

The opening of silver mines in the US, led to a decline in the price of silver and as a result, the gold value of the rupee which was 1s. 10.351d in 1873–74 fell to 1s 2.985d in 1892–93.[4] This depreciation of the rupee apart from being prejudicial to trade also created a budgetary problem for the government as the burden of meeting the Home Charges increased. In 1893, an all-British committee presided over by Lord Herschell, the Lord Chancellor, recommended that the mints be closed to the public for free coinage of silver. But the government could coin rupees if required by the public in exchange for gold at a ratio to be fixed, in the first instance, not much above the then prevailing rate at 1s 4d per rupee and arrange for government treasuries to receive gold at the same rate. Thus through closing the mints to the free coinage of silver and other administrative measures contracting the supply of rupees, the exchange value was raised to about 1s 4d, the rate recommended by the Herschell Committee. Despite the closure of the mints to the free coinage of silver, the exchange rate fell steadily, reaching a low of just over 1s in January 1895. It rose steadily after that reaching 1s 4d in 1898.